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March 11, 2019

By E-Mail and USPS First Class Mail

Rachel E. Dickon, Secretary
Office of the Secretary
Federal Maritime Commission
800 North Capitol Street, N.W.
Washington, D.C. 20753

**Re: FMC Docket 19-02
Toyota De Puerto Rico Corp. vs. Puerto Rico Ports Authority, Crowley
Puerto Rico Services, Inc., and Oceanic General Agency, Inc.
Motion to Dismiss**

Dear Ms. Dickon:

On behalf of Respondent Oceanic General Agency, Inc. ("OGA") we enclose an original and five copies of OGA's Motion to Dismiss.

If you have any questions regarding the above, please contact the undersigned at your convenience.

Very truly yours,

By: 
Henry P. Gonzalez, LL.M.

Enclosure: As stated

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 19-02

**TOYOTA DE PUERTO RICO CORP.,
Complainant**

v.

**PUERTO RICO PORTS AUTHORITY, CROWLEY PUERTO RICO
SERVICES, INC., AND OCEANIC GENERAL AGENCY, INC.,
Respondents.**

**MOTION TO DISMISS COMPLAINT
FOR LACK OF PERSONAL AND SUBJECT-MATTER JURISDICTION**

Pursuant to Rule 502.69 of the Commission's Rules of Practice and Procedure (46 C.F.R. § 502.69) and Rules 12(b)(1) and 12(b)(2) of the Federal Rules of Civil Procedure, Respondent Oceanic General Agency, Inc. moves the Federal Maritime Commission to issue an order dismissing the Complaint with prejudice.

Respectfully submitted,



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Dated: March 11, 2019
Washington, D.C.

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 19-02

TOYOTA DE PUERTO RICO CORP.,

Complainant

v.

**PUERTO RICO PORTS AUTHORITY, CROWLEY PUERTO RICO
SERVICES, INC., AND OCEANIC GENERAL AGENCY, INC.,
Respondents.**

**MEMORANDUM OF LAW IN SUPPORT OF RESPONDENT OCEANIC
GENERAL AGENCY, INC.'S MOTION TO DISMISS**

Pursuant to Rule 70 of the Federal Maritime Commission's Rules of Practice and Procedure, 46 C.F.R. §502.70, Respondent Oceanic General Agency, Inc., (“OGA”) by and through their undersigned counsel, respectfully move to dismiss the complaint filed on February 5, 2019 (the "Complaint") in the above captioned case. OGA submits this Memorandum of Law in support of their Motion to Dismiss.

I. BACKGROUND

In its Complaint, Toyota de Puerto Rico (“TPR”) alleges that OGA and other Respondents violated several sections of the Shipping Act of 1984, as amended (the "Shipping Act") relating to the collection of an Enhanced Security Fee ("ESF"). The ESF was imposed by the Puerto Rico Port Authority (PRPA”) and invoiced OGA, who in turn invoiced TPR for the ESF assessed against motor vehicles transported by TPR to Puerto

Rico from 2012 to 2017. TPR alleges that it was charged the ESF even though none of its vehicles were scanned.

OGA submits this memorandum in support of its Motion to Dismiss TPR's Complaint lack of subject-matter and personal jurisdiction over Respondent OGA pursuant to the Federal Rules of Civil Procedure, Rules 12(b)(1) and (2).

II. LEGAL STANDARD FOR A MOTION TO DISMISS

Although the Commission's Rules of Practice and Procedure ("FMC Rules") do not explicitly provide for motions to dismiss or for summary judgment, Rule 12 permits reference to the Federal Rules of Civil Procedure for situations which are not covered by a specific Commission rule. 46 C.F.R. § 502.12.

Thus, the standard used to evaluate motions to dismiss in Commission proceedings is similar to the standard used in federal courts. *See, e.g., Tienshan, Inc. v. Tianjin Hua Feng Transport Agency Co., Ltd.*, FMC No. 08-04 (ALJ Apr. 23, 2010) (Memorandum and Order on Respondent Tianjin Hua Feng Transport Agency Co., Ltd.'s Motion to Dismiss Pursuant to F.R.C.P. 12(b)(1) and (6) for Lack of Subject Matter Jurisdiction and for Failure to State a Claim for Relief).¹

"To survive a motion to dismiss, a complaint must contain sufficient factual matter, accepted as true, to 'state a claim to relief that is plausible on its face.'" *Ashcroft v. Iqbal*, 129 S. Ct. 1 937, 1949 (2009) (quoting *Bell Atlantic Corp. v.*

¹ Commission regulations at 46 C.F.R. §§ 502.69(g) and 502.70 provide for the filing of dispositive motions including a motion to dismiss in a formal complaint proceeding. A motion to dismiss is appropriate if it is clear that no relief may be granted under any set of circumstances that could be proved consistent with the allegations contained in a complaint. *See, e.g., Cargo One, Inc. u. Cosco Container Lines Company, Ltd.*, 28 S.R.R. 1351, 1362 (AW 2000), and cases cited therein.

Twombly, 550 U.S. 544, 570 (2007)). "A pleading that offers 'labels and conclusions' or 'a formulaic recitation of the elements of a cause of action will not do.'" *Iqbal*, 129 S. Ct. at 1949 (quoting *Twombly*, 550 U.S. at 555). "When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief." *Iqbal*, 129 S. Ct. at 1950.

For motions to dismiss as to personal and subject matter jurisdiction, the moving party may submit affidavits or any other evidence properly before the court or agency. Thereafter, the party opposing the motion is required to present affidavits or any other evidence necessary to satisfy its burden of establishing that the court or agency, in fact, possesses jurisdiction. *Thompson v. Chrysler Motors Corp.*, 755 F.2d 1162, 1165 (5th Cir. 1985) (when resolving a motion to dismiss for lack of personal jurisdiction a court may determine the jurisdictional issue by receiving affidavits and other factual statements and need not accept as true any allegations in plaintiff's complaint that are controverted by affidavits). See also, *St. Clair v. City of Chico*, 880 F.2d 199, 201 (9th Cir. 1989); *Kokkonen v. Guardian Life Ins. co. of America*, 511 U.S. 375, 377 (1994).

The Commission has clearly articulated in the past that, before proceeding to the merits of a case, the FMC must determine whether it has jurisdiction over the parties and subject matter. See, *Kawasaki Kisen Kaisha, LTD. v. Intercontinental Exchange, Inc.*, 2000 WL 1285694 (FMC) (it is "elementary law that a court or agency of limited jurisdiction such as the Federal Maritime Commission should determine its jurisdiction before proceeding to decide the merits of a controversy"); *Government of the Territory of Guam v. Sea-Land Service, Inc.*, 28 S.R.R. 252, 265 (FMC 1998) ("The general rule is that

an adjudicatory body must first find that it has jurisdiction over the parties and the subject matter of the case before it reaches the merits.”). The Complaint in this proceeding presents, as relates to Respondent OGA, warrants the Commission’s initial review of these jurisdictional issues.

III. THE COMPLAINT MUST BE DISMISSED FOR A LACK OF JURISDICTION

a. The FMC Lacks Personal Jurisdiction Over OGA because OGA did not Act as Common Carrier.

In its first cause of action, TPR alleges that OGA violated § 41102 (c) of the Shipping Act, which provides that “a common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 USC § 41102 (c) (formerly referred to as § 10 (d) (1)). Because OGA acted as a ship agent and not as a common carrier, its Complaint must be dismissed for lack of personal jurisdiction.

The Shipping Act defines an “common carrier” as “a person holding itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation . . .” 46 U.S.C. § 40102(6). In the Complaint, TPR first incorrectly refers to OGA as a “collection agent” for PRPA. Complaint at ¶28. TPR then takes a giant leap and fabricates a carrier relationship between OGA and TPR to support a 10 (d) (1) violation. TPR correctly stated that, “Toyota owned, **arranged for the ocean transportation on its account of . . .**,” and was the person to who certain vehicles were to be delivered . . .” (Emphasis added). Complaint at ¶ 46. However, TPR did not ship any vehicles through OGA. See Velazquez Declaration, Exhibit 1.

_____.

TPR then makes the following unsupported allegations that OGA acted as a common carrier:

Both Crowley and Oceanic transported Toyota vehicles for compensation, by vessels operating in the high seas between several foreign ports, including Veracruz, Mexico and Toyohashi, Japan, and ports in the United States and Puerto Rico. Both assumed responsibility for transportation of said cargo from said points of receipt to their Puerto Rico destination. As such, they were common carriers under the Shipping Act of 1984, 46 U.S.C.A. § 40102(6). 49.

While collecting the ESF fees to Toyota, P.R.P.A., as marine terminal operator, and Crowley and Oceanic, as common carriers, violated section 41102 (c) since they failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering property.

Complaint at ¶48 and ¶49.

There are no allegations that OGA issued bills of lading to TPR or that OGA received, handled, stored or delivered TPR's cargo subject of its Complaint. TPR simply concludes without any support that OGA was a common carrier. The Commission has held that the status of a "person" under the Act is not determined by his or her own declaration of what he or she is, but what he or she is, in fact, doing. e.g., *Carolina Marine Handling, Inc. v. South Carolina State Ports Authority*, 2000 WL 722272 (FMC) (citing *Stark v. Wickard*, 321 U.S. 288, 309 (1944); *Marine Terminal Practices of the Port of Seattle*, 18 S.R.R. 141, 156 (ID 1978), adopted 18 S.R.R. 1 029 (FMC 1978)). See also, *EuroUSA Shipping, Tober Group, Inc. – Possible Violations of the Act*, 31 S.R.R. 967 (ALJ 2009) (*EuroUSA (ALJ 2009)*), (It is necessary to examine the evidence of the intermediary operations to determine whether an intermediary operated as an NVOCC or an ocean

freight forwarder on a shipment because intermediary conduct and not what it labels itself will be determinative of its status), citing *Bonding of Non-Vessel Operating Common Carriers*, 56 Fed Reg. 51,987, 51,911 (Oct 17, 1991).

Respondent OGA did not act as a common carrier on any of TPR's shipments. See Velazquez Declaration, Exhibit 1. Respondent only acted as a ship agent for several vessel carriers, including NYK Line and K-Line. Velazquez Declaration, ¶12. OGA did not hold out to TPR to transport by water TPR's cargo, did not assume responsibility for any of TPR's shipments for compensation. Velazquez Declaration, ¶14-20.

IV. TPR's CLAIMS UNDER SEVERAL SECTIONS OF THE SHIPPING ACT MUST BE DISMISSED FOR FAILURE TO STATE CLAIM UPON WHICH RELIEF MAY BE GRANTED AND FOR LACK OF PERSONAL JURISDICTION.

In its Second Cause of Action TPR avers that OGA violated 46 U.S.C.A. §§ 41104 (4), (5) and (9) of the Shipping Act of 1984, as amended. These claims must be dismissed for failure to state a claim upon which relief may be granted.

- a. TPR's Claim That OGA Violated § 41104 (4) Must Be Dismissed Because OGA Did Not Act As A Common Carrier And Did Not Provide A Service To TPR Pursuant To A Tariff.

With respect to the cause of action relating to § 41104 (4), this claim must be dismissed. Section 41104 (4) (A) of the Shipping Act provides that, "[a] **common carrier**, either alone or in conjunction with any other person, directly or indirectly, may not . . . for service **pursuant to a tariff**, engage in any unfair or unjustly discriminatory practice in the matter of . . . rates or charges . . ." (Emphasis added).

As explained above, OGA did not act as common carrier for TPA's shipments. Velazquez Declaration at ¶14-20. OGA did not assume responsibility as a common carrier

for TPA's shipments. Id at _____. OGA did not charge or seek compensation pursuant to a tariff. Id. at 14-20. OGA did not provide any services to TPR pursuant to a tariff and did not charge TPR rates or charges. OGA simply acted as a ship agent for NYK and as such invoiced TPR, the Consignee, the ESF.

Therefore, because OGA did not act as a common carrier and provide a service pursuant to a tariff, § 41104 (4) (A) is inapplicable and this claim must be dismissed.

- b. TPR's Claim that OGA Violated §§ 41104 (5) and 41104 (9) Must Be Dismissed Because OGA Did Not Act as A Common Carrier, Provide A Service Pursuant To A Service Contract, And TPR Lacks Standing To Invoke §§ 41104 (5) And (9).

With respect to TPR's claim that OGA violated §§ 41104 (5) and 41104 (9), these claims must be dismissed because OGA did not act as a common carrier, provide a service pursuant to a service contract, and TPR lacks standing to invoke §§ 41104 (5) and (9).

Sections §§ 41104(5) and (9) of the Shipping Act, provide that a **common carrier** either alone or in conjunction with any other person, directly or indirectly, may not:

(5) **for service pursuant to a service contract**, engage in any unfair or unjustly discriminatory practice in the matter of rates or charges **with respect to any port**;

(9) **for service pursuant to a service contract**, give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage **with respect to any port**. (emphasis added).

- i. OGA did not Act as a Common Carrier

As stated above, OGA did not act as common carrier for any of TPR's shipments subject of its Complaint or any of TPR's shipments. See Velazquez Declaration, Exhibit 1, ¶14-20. Id. ¶14-20. OGA did not assume responsibility as a common carrier for TPA's shipments. Id at ¶14-20. OGA did not charge or seek compensation pursuant to a tariff or service contract. Id, at ¶18. OGA did not provide any services to TPR pursuant to a tariff

and did not charge TPR rates or charges. OGA simply acted as a ship agent for NYK and K Line and as such invoiced TPR, the Consignee, the ESF.

Therefore, because OGA did not act as a common carrier and provide a service as such, TPR's § 41104 (5) claim must be dismissed.

ii. None of TPR's Shipments Moved Under a Service Contract.

Both § § 41104 (5) and 41104 (9), by their terms, apply only to "service pursuant to a service contract." A service contract is a contract between one or more shippers on the one hand and an individual ocean common carrier or agreement between or among ocean common carriers on the other hand. 46 U.S.C. §40102(20). TPR does not allege that they were a party to any service contract with OGA. Therefore, none of the allegations in the Complaint involve "service pursuant to a service contract."

iii. Prohibitions Under § § 41104 (5) and 41104 (9), Protect Only Ports, Not Shippers Like TPR.

The plain language and legislative history of prohibitions of § § 41104 (5) and 41104 (9), by their terms, were intended to protect ports and localities. This is supported by the legislative history to the Shipping Act, which stated that prohibitions of §§ 10 (b) (5) and (9) of the 1984 Act, were intended to protect localities from unjust discrimination and undue or unreasonable preference, advantage, prejudice, or disadvantage as a result of common carrier service contracts. The legislative history further stated that, "[t]he Committee intends the application of these prohibitions to a locality to be limited to circumstances in which the prohibited actions are clearly targeted at a locality, not to circumstances where the actions are targeted at a particular shipper or ocean transportation intermediary which happens to be associated with that locality."

S. Rep. 61, 105th Cong., 1st Sess., p. 28.

It is clear that the legislative history supports OGA's position that prohibitions of § 41104 (5) and 41104 (9) were intended to protect ports, and TPR lacks standing as a shipper to invoke the protections of these sections of the Shipping Act of 1984, as amended.

Considering the foregoing, Complainants have failed to state a claim for which relief may be granted under 46 U.S.C. §§41104(5) and 41104(9) and their claims under those provisions of the Act must be dismissed.

V. CONCLUSION

For the foregoing reasons, Respondent OGA moves the Commission to dismiss the Complaint with prejudice and award attorney's fees pursuant to 46 C.F.R. § 502.254.

Respectfully submitted,



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Attorneys for Respondent
Oceanic General Agency, Inc.

Dated: March 11, 2019
Washington, D.C.

CERTIFICATE OF SERVICE

I hereby certify that I have on this 11th day of March 2019, served a copy of the foregoing Notice of Appearance upon the following via email:

REICHARD & ESCALERA
Rafael Escalera Rodriguez, Esq,
Sylvia M. Arizmendi, Esq.
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Respectfully submitted,



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Attorneys for Respondent
Oceanic General Agency, Inc.

Dated: March 11, 2015
Washington, D.C.

DECLARATION OF GLORIA VELAZQUEZ

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 19-02

**TOYOTA DE PUERTO RICO CORP.,
Complainant**

v.

**PUERTO RICO PORTS AUTHORITY, CROWLEY PUERTO RICO
SERVICES, INC., AND OCEANIC GENERAL AGENCY, INC.,
Respondents.**

**DECLARATION OF GLORIA VELAZQUEZ IN SUPPORT OF OCEANIC GENERAL
AGENCY, INC.'S MOTION TO DISMISS**

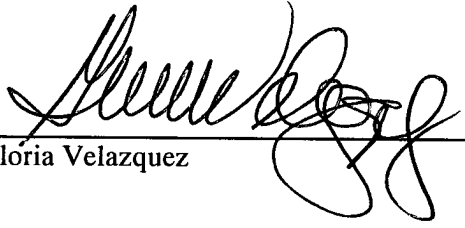
I, Gloria Velazquez, declare as follows:

1. I am over the age of eighteen and competent to make this declaration.
2. This Declaration is based upon my personal knowledge and approximately 30 years of experience in the ocean shipping industry.
3. I am General Manager of Oceanic General Agency, Inc. ("OGA"), which position I have held since September 2016. As General Manager, my duties and responsibilities include full supervision of all OGA employees, and staff, and interaction with OGA customers, and shipping lines.
4. Oceanic General Agency, Inc. (hereinafter "OGA") is a corporation duly organized under the laws of The Commonwealth of Puerto Rico, which provides ship agency services for several principal shipping lines that operate vessels and transport cargo in both the domestic and foreign commerce of the U.S.

5. Among its duties in acting as agent for said principal lines and as is customary upon serving as ship agent for other vessel carriers, OGA receives from the line a cargo manifest which the lines are required to submit two (2) days in advance of the vessel's arrival to San Juan, Puerto Rico.
6. I reviewed the Complaint filed in the above-referenced FMC case and the allegations contained therein.
7. After reading the complaint, OGA requested its staff to review OGA's records relating to the ESF fees subject of TPR's Complaint. I reviewed OGA's records kept in the ordinary course of business and make the following statement and observations.
8. OGA was a Federal Maritime Commission ("FMC") licensed Ocean Transportation Intermediary ("OTI") Non-Vessel-Operating Common Carrier (NVOCC) as that term is defined by the FMC's Shipping Act laws and regulations. OGA obtained its OTI NVOCC license on or about September 27, 2005.
9. Although, OGA was a licensed OTI NVOCC, it never acted in the capacity as an NVOCC or as a common carrier to any OGA customer including TPR.
10. Because OGA was not utilizing its NVOCC license, it surrendered its OTI license on October 25, 2018.
11. Prior to becoming an NVOCC, OGA was and continues to be a ship-vessel agent to numerous vessel operating ocean common carriers.
12. During the periods alleged in the Verified Complaint in FMC Docket 19-02, OGA acted as ship-vessel-agent for NYK Line (Nippon Yusen Kaisha) and K-Line (Kawasaki Kisen Kaisha) with respect to shipments of automobiles from ports in Japan to San Juan Puerto Rico.

13. OGA was not involved in the collection of ocean freight for TPR's shipments to Puerto Rico because all freight was prepaid.
14. Contrary to TPR's allegation, OGA did not transport any of TPR's vehicles for compensation.
15. Contrary to TPR's allegation, OGA did not assume responsibility for transportation of any of TPR's vehicles subject of the Complaint from Japan and Mexico to Puerto Rico.
16. OGA did not in any way receive, handle, store, or deliver TPR's vehicles neither at origin port nor port of San Juan, Puerto Rico.
17. OGA never acted as a common carrier to TPR's shipments prior to and during the periods referenced in TPR's Complaint.
18. OGA never provided a transportation service to TPR pursuant to a tariff or a service contract.
19. OGA never issued bill of lading covering the ocean transportation of any shipments of TPR to or from Japan or Mexico.
20. OGA never booked any shipments for TPR for ocean transportation to or from Japan or Mexico.
21. The Puerto Rico Ports Authority ("PRPA") invoiced OGA the ESF because the implementing law that imposed the ESF required the vessel or its ship agent to pay the ESF.
22. PRPA invoiced OGA the ESF as ship agent and any other applicable port charges based on the manifest submitted by the vessel or her owner and in turn submitted by OGA as ship agent for the vessel carrier to PRPA.
23. As ship agent, OGA notified the local cargo consignee, here TPR of the arrival of its shipments to the Port of San Juan.
24. OGA invoiced the local cargo consignee, here TPR, the applicable ESF.
25. OGA paid to PRPA the ESF collected from TPR.

Pursuant to 28 U.S.C. § 1746, I declare under penalty of perjury that the foregoing is true and correct.


Gloria Velazquez